

Table 41.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height by subtracting the value of the neckline from the highest high reached in the head, measured vertically. Subtract the result from the breakout price. If the neckline slopes downward, use a close below the right armpit as the breakout price. The result is the target price. The bottom portion of the table shows how often various heights work in the measure rule.
Wait for confirmation	Wait for price to confirm the pattern by closing below the neckline or right armpit.
Busted pattern	A single busted head-and-shoulders top can lead to a meaningful rise. See the discussion for Table 41.9 for guidance.

Description	Bull Market	Bear Market
Percentage reaching half height target	77%	80%
Percentage reaching full height target	51%	55%
Percentage reaching 2× height	25%	29%
Percentage reaching 3× height	12%	15%